

Union Elevated Railroad First 5s.<sup>9</sup> The subject of receivership and reorganization practice, particularly as they affect the bondholder, will receive more detailed consideration in a later chapter.

**Basic Principle Is to Avoid Trouble.** The foregoing discussion should support our emphatic stand that the primary aim of the bond buyer must be to avoid trouble and not to protect himself in the event of trouble. Even in the cases where the specific lien proves of real advantage, this benefit is realized under conditions which contravene the very meaning of *fixed-value* investment. In view of the severe decline in market price almost invariably associated with receivership, the mere fact that the investor must have recourse to his indenture indicates that his investment has been unwise or unfortunate. The protection that the mortgaged property offers him can constitute at best a mitigation of his mistake.

**Corollaries from This First Principle.** 1. *Absence of Lien of Minor Consequence.* From Principle I there follow a number of corollaries with important practical applications. Since specific lien is of subordinate importance in the choice of high-grade bonds, the absence of lien is also of minor consequence. The debenture,<sup>10</sup> *i.e.*, unsecured, obligations of a

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<sup>9</sup> See Appendix Note 10 for supporting data. On the subject of delays in enforcing bondholders' claims, it should be pointed out that, with up to one-third of the country's railroad mileage in bankruptcy, not a single road emerged from trusteeship in the six years following passage of the Sec. 77 amendment to the Bankruptcy Act in 1933—a step designed to *accelerate* reorganization.

<sup>10</sup> The term "debenture" in American financial practice has the accepted meaning of "unsecured bond or note." For no good reason, the name is sometimes given to other kinds of securities without apparently signifying anything in particular. There have been a number of "secured debentures," *e.g.*, Chicago Herald and Examiner Secured Debenture 6<sup>1</sup>/<sub>2</sub>s, due 1950, and Lone Star Gas Debenture 3<sup>1</sup>/<sub>2</sub>s, due 1953. Also, a number of preferred issues are called debenture preferred stock or merely debenture stock, *e.g.*, Du Pont Debenture Stock (called in 1939); General Cigar Company Debenture Preferred (called in 1927).

Sometimes debenture issues, properly so entitled because originally unsecured, later acquire specific security through the operation of a protective covenant, *e.g.*, New York, New Haven and Hartford Railroad Company Debentures, discussed in Chap. 19. Another example was the Debenture 6<sup>1</sup>/<sub>2</sub>s of Fox New England Theaters, Inc., reorganized in 1933. These debentures acquired as security a block of first-mortgage bonds of the same company, which were surrendered by the vendor of the theaters because it failed to meet a guarantee of future earnings.

Observe that there is no clear-cut distinction between a "bond" and a "note" other than the fact that the latter generally means a relatively short-term obligation, *i.e.*, one maturing not more than, say, ten years after issuance.